

TABLE 18-10. Large Year-to-Year Fluctuations of McGraw-Hill, 1958-1971^a

<i>From</i>	<i>To</i>	<i>Advances</i>	<i>Declines</i>
1958	1959	39-72	
1959	1960	54-109½	
1960	1961	21¼-43½	
1961	1962	18¾-32¼	43½-18¾
1963	1964	23¾-38¾	
1964	1965	28¾-61	
1965	1966	37½-79½	
1966	1967	54½-112	
1967	1968		56¼-37½
1968	1969		54½-24
1969	1970		39½-10
1970	1971	10-24½	

^a Prices not adjusted for stock-splits.

In studying the stock list for the material in this chapter, we were impressed once again by the wide difference between the usual objectives of security analysis and those we deem dependable and rewarding. Most security analysts try to select the issues that will give the best account of themselves in the future, in terms chiefly of market action but considering also the development of earnings. We are frankly skeptical as to whether this can be done with satisfactory results. Our preference for the analyst's work would be rather that he should seek the exceptional or minority cases in which he can form a reasonably confident judgment that the price is well below value. He should be able to do this work with sufficient expertness to produce satisfactory average results over the years.